

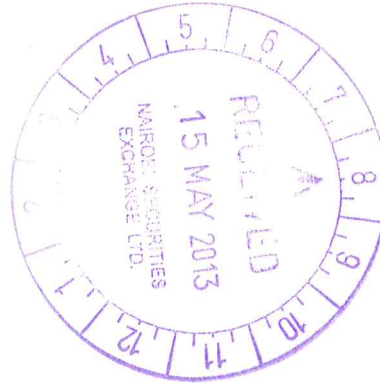


CO-OPERATIVE BANK OF KENYA

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P. O. Box 48231 - 00100 GPO, Nairobi
Tel: (020) 3276100
Fax: (020) 2227747 / 2219831
Website: www.co-opbank.co.ke

15th May 2013

The Chief Executive,
Nairobi Securities Exchange,
Nation Centre,
Kimathi Street,
Nairobi.



Dear Sir,

**RE: THE CO-OPERATIVE BANK OF KENYA LIMITED
GROUP FINANCIAL RESULTS FOR THE 1ST QUARTER
ENDED 31ST MARCH 2013**

Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the 1st Quarter ended 31st March 2013, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully,

Rosemary Githaiga (Mrs)
COMPANY SECRETARY

Encl.

Chief Executive Officer
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upper Hill,
Nairobi.

- With copies of the above attached.

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2013



		GROUP				BANK	
1	STATEMENT OF FINANCIAL POSITION	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	31-Mar-12 KSHS.'000	31-Mar-13 KSHS.'000	31-Dec-12 KSHS.'000	31-Mar-12 KSHS.'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
A	ASSETS						
1	Cash (local and foreign)	6,607,918	7,170,048	6,459,134	6,396,503	7,170,048	6,367,316
2	Balances due from Central Bank Of Kenya	12,816,266	15,044,018	9,767,005	12,816,266	15,044,018	9,767,005
3	Kenya Government and other securities held for dealing purposes	30,009	30,009	31,029	30,009	30,009	31,029
4	Financial Assets at fair value through profit and loss	50,449	152,190	-	50,449	150,825	141,936
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	4,545,934	3,373,531	-	4,384,332	3,213,925	450,000
5.a.b	Investment Securities: Held to Maturity- Other Securities	-	-	-	-	-	-
5.b.a	Investment Securities: Available for Sale- Kenya Government Securities	22,112,615	24,320,588	17,856,028	22,112,615	24,319,957	17,214,750
5.b.b	Investment Securities: Available for Sale- Other Securities	5,828,461	5,514,468	4,907,779	5,828,461	5,514,467	4,765,843
6	Deposits and balances due from local banking institutions	6,854,371	4,013,588	911,524	6,854,371	3,997,121	911,524
7	Deposits and balances due from banking institutions abroad	7,192,670	4,872,579	4,088,989	7,192,670	4,872,579	4,088,989
8	Tax recoverable	-	-	-	-	-	-
9	Loans and advances to customers (net)	119,107,304	119,087,748	113,582,567	119,107,304	119,087,748	113,582,567
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	1,518,148	1,354,935	1,149,662	755,118	755,118	755,118
12	Investments in subsidiary companies	-	-	-	240,000	240,000	240,000
13	Investment in joint ventures	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-
15	Property, plant and equipment	8,877,806	8,949,529	9,068,054	8,872,056	8,943,111	9,058,067
16	Prepaid lease rentals	38,863	38,863	39,478	38,863	38,863	39,478
17	Intangible assets	2,114,083	2,145,001	600,189	1,861,745	1,892,241	346,691
18	Deferred tax asset	9,916	308,124	845,036	-	-	844,600
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	7,605,499	4,511,363	4,694,221	7,490,513	4,392,927	4,642,748
21	TOTAL ASSETS	205,310,311	200,886,582	174,000,697	204,031,274	199,662,956	173,247,662
B	LIABILITIES						
22	Balances due to Central Bank Of Kenya	-	-	-	-	-	-
23	Customer deposits	162,210,361	162,083,580	145,930,577	162,210,361	162,267,227	145,930,577
24	Deposits and balances due to local banking institutions	1,820,297	1,065,302	984,020	1,820,297	1,065,302	984,020
25	Deposits and balances due to banking institutions abroad	-	-	1,030	-	-	1,030
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	4,409,127	4,572,005	381,688	4,409,127	4,572,005	381,688
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	589,840	585,429	450,240	581,042	581,349	446,637
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	175,713	473,939	-	175,713	175,713	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	4,520,041	2,164,274	2,126,866	4,398,881	2,034,414	2,042,742
34	TOTAL LIABILITIES	173,725,378	170,944,529	149,874,421	173,595,420	170,696,010	149,786,693
C	SHAREHOLDERS' FUNDS						
35	Paid up/Assigned capital	4,190,844	4,190,844	3,492,370	4,190,844	4,190,844	3,492,370
36	Share premium/(discount)	3,588,262	3,588,262	4,286,736	3,588,262	3,588,262	4,286,736
37	Revaluation reserve	416,106	416,106	369,514	416,106	416,106	339,526
38	Retained earnings/ Accumulated losses	22,178,481	19,558,597	16,133,402	21,159,536	18,727,297	15,616,813
39	Statutory Loan Loss Reserve	451,784	451,784	205,978	451,784	451,784	205,978
40	Other Reserves	(2,040,815)	(1,062,887)	(2,467,452)	(2,040,815)	(1,077,486)	(2,467,452)
41	Proposed dividends	2,095,422	2,095,422	1,396,948	2,095,422	2,095,422	1,396,948
42	Capital grants	574,715	574,717	590,051	574,715	574,717	590,051
43	TOTAL SHAREHOLDERS' FUNDS	31,454,799	29,812,845	24,007,545	30,435,853	28,966,946	23,460,969
43.1	Non-Controlling Interest	130,134	129,208	118,731	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	205,310,311	200,886,582	174,000,697	204,031,274	199,662,956	173,247,662

II	STATEMENT OF COMPREHENSIVE INCOME	GROUP				BANK	
		31-Mar-13	31-Dec-12	31-Mar-12	31-Mar-13	31-Dec-12	31-Mar-12
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1.0	INTEREST INCOME						
1.1	Loans and advances	4,849,986	21,231,015	5,608,896	4,849,986	21,231,015	5,608,896
1.2	Government securities	873,679	2,688,498	454,741	869,256	2,662,204	448,477
1.3	Deposits and placements with banking Institutions	120,691	436,613	15,956	120,691	431,984	15,956
1.1	Other Interest Income	-	-	-	-	-	-
1.5	Total Interest Income	5,844,356	24,356,127	6,079,593	5,839,933	24,325,204	6,073,330
2.0	INTEREST EXPENSE						
2.1	Customer deposits	1,338,641	8,013,587	2,374,823	1,338,641	8,013,587	2,374,823
2.2	Deposits and placements from banking institutions	26,725	297,818	140,258	26,725	297,818	140,258
2.3	Other Interest Expenses	163,886	368,603	67,217	163,886	368,603	67,217
2.4	Total Interest Expenses	1,529,251	8,680,008	2,582,298	1,529,251	8,680,008	2,582,298
3	NET INTEREST INCOME/(LOSS)	4,315,105	15,676,118	3,497,296	4,310,682	15,645,196	3,491,032
4	NON- OPERATING INCOME						
4.1	Fees and commissions on loans and advances	361,540	1,455,578	195,762	361,540	1,455,778	195,762
4.2	Other Fees and commissions	1,217,219	4,588,303	1,169,495	1,160,498	4,332,051	1,121,387
4.3	Foreign exchange trading income/(loss)	343,534	1,292,225	303,328	343,534	1,292,225	303,328
4.4	Dividend income	-	2,937	-	-	55,072	-
4.5	Other income	280,534	830,174	432,992	275,548	825,508	432,992
4.6	Total Non-interest income	2,202,828	8,169,217	2,101,576	2,141,120	7,960,634	2,053,468
5.0	TOTAL OPERATING INCOME	6,517,933	23,845,336	5,598,872	6,451,802	23,605,830	5,544,500
6.0	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	200,501	999,882	250,001	200,501	999,882	250,001
6.2	Staff costs	1,520,738	6,096,093	1,449,164	1,499,191	6,031,466	1,426,711
6.3	Directors' emoluments	14,779	83,552	11,537	10,068	64,516	7,145
6.4	Rentals charges	224,906	902,808	186,766	222,655	894,142	184,654
6.5	Depreciation charge on property and equipment	343,442	1,310,631	311,271	342,378	1,307,024	309,756
6.6	Armortisation charges	33,976	127,686	32,104	33,779	127,686	31,907
6.7	Other operating expenses	1,115,283	4,714,544	1,012,669	1,102,932	4,607,183	999,016
6.8	Total other operating expenses	3,453,627	14,235,196	3,253,513	3,411,504	14,031,899	3,209,191
7	Profit/(Loss) before tax and exceptional items	3,064,306	9,610,140	2,345,359	3,040,298	9,573,931	2,335,309
8	Exceptional items-Share of profit of associate	163,213	373,632	121,502	-	-	-
9	Profit/(Loss) before tax	3,227,519	9,983,772	2,466,862	3,040,298	9,573,931	2,335,309
10	Current tax	615,333	2,039,256	510,300	608,060	2,014,380	505,107
11	Deferred tax	-	220,658	-	-	230,118	-
12	Profit/(loss) after tax and exceptional items	2,612,186	7,723,858	1,956,562	2,432,239	7,329,433	1,830,203
13.0	OTHER COMPREHENSIVE INCOME:						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	(977,928)	1,997,998	1,726,457	(963,329)	1,997,637	1,724,623
13.3	Revaluation Surplus on property, Plant and Equipment	-	85,652	-	-	85,652	-
13.4	Share of other comprehensive income of associates	-	5,278	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	(977,928)	2,088,928	1,726,457	(963,329)	2,083,289	1,724,623
15	TOTAL COMPREHENSIVE INCOME	1,634,258	9,812,786	3,683,019	1,468,910	9,412,722	3,554,825
	Earnings per share	0.62	1.84	0.56	0.58	1.75	0.52
	Dividend per share	-	0.50	-	-	0.50	-

III	OTHER DISCLOSURES	GROUP				BANK	
		31-Mar-13	31-Dec-12	31-Mar-12	31-Mar-13	31-Dec-12	31-Mar-12
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
I	NON PERFORMING LOANS AND ADVANCES						
a)	Gross non-performing loans and advances	6,680,550	6,203,278	5,659,678	6,680,550	6,203,278	5,659,678
	Less						
b)	Interest in suspense	860,777	869,668	833,177	860,777	869,668	833,177
c)	Total Non-performing loans and advances (a-b)	5,819,773	5,333,610	4,826,501	5,819,773	5,333,610	4,826,501
	Less						
d)	Loan loss provisions	2,865,177	2,437,967	2,752,372	2,865,177	2,437,967	2,752,372
e)	Net Non performing loans (c-d)	2,954,596	2,895,643	2,074,129	2,954,596	2,895,643	2,074,129
f)	Discounted Value of Securities	2,954,596	2,572,046	1,985,795	2,954,596	2,572,046	1,985,795
g)	Net NPLs Exposure (e-f)	-	323,597	88,334	-	323,597	88,334
2	Insider loans and advances						
a)	Directors, shareholders and associates	157,952	159,003	147,308	157,952	159,003	147,308
b)	Employees	5,896,013	5,645,248	5,054,685	5,896,013	5,645,248	5,054,685
c)	Total insider loans, advances and other facilities	6,053,965	5,804,251	5,201,993	6,053,965	5,804,251	5,201,993
3	Off-Balance Sheet Items						
a)	Letters of credit, guarantees, acceptances	15,493,515	14,434,139	13,294,541	15,493,515	14,434,139	13,294,541
b)	Forwards, swaps and options	-	-	-	-	-	-
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total contingent liabilities	15,493,515	14,434,139	13,294,541	15,493,515	14,434,139	13,294,541
	Capital strength						
a)	Core capital				28,297,237	29,413,946	23,069,848
b)	Minimum Statutory Capital				1,000,000	1,000,000	700,000
c)	Excess/(deficiency)				27,297,237	28,413,946	22,369,848
d)	Supplementary capital				4,964,937	5,128,270	472,547
e)	Total capital (a+d)				33,262,174	34,542,216	23,542,395
f)	Total risk weighted assets				194,595,764	145,187,161	141,027,102
g)	Core capital/total deposit liabilities				17.3%	18.0%	15.7%
h)	Minimum Statutory Ratio				10.5%	8.0%	8.0%
i)	Excess/(deficiency)				6.8%	10.0%	7.7%
j)	Core capital/total risk weighted assets				14.5%	20.3%	16.4%
k)	Minimum Statutory Ratio				10.5%	8.0%	8.0%
l)	Excess/(deficiency)(j-k)				4.0%	12.3%	8.4%
m)	Total capital/total risk weighted assets				17.1%	23.8%	16.7%
n)	Minimum Statutory Ratio				14.5%	12.0%	12.0%
o)	Excess/(deficiency)(m-n)				2.6%	11.8%	4.7%
5	Liquidity						
a)	Liquidity Ratio				35.9%	35.8%	25.6%
b)	Minimum Statutory Ratio				20.0%	20.0%	20.0%
c)	Excess/(deficiency)(a-b)				15.9%	15.8%	5.6%

These financial statements are extracts from the books of the institution.

Signed: S C Muchiri, EBS
Group Chairman

Signed: Dr.G. Muriuki, MBS
Group Managing Director & CEO

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES

STATEMENT OF CHANGES IN EQUITY

FOR THE QUARTER ENDED 31 MARCH 2013

	Share Capital	Share Premium	Revaluation Reserve	Statutory Reserve	Fair value Reserve	Proposed Dividends	Retained Earnings	Total equity
Balance at 1 January 2013	4,190,844	3,588,262	416,106	451,784	(1,077,486)	2,095,422	18,727,297	28,392,229
Total comprehensive income	-	-	-	-	-	-	-	-
Profit for the year	-	-	-	-	-	-	2,432,239	2,432,239
Other comprehensive income	-	-	-	-	(963,329)	-	-	(963,329)
Balance at 31 March 2013	4,190,844	3,588,262	416,106	451,784	(2,040,815)	2,095,422	21,159,536	29,861,139

CO-OPERATIVE BANK OF KENYA LIMITED
GROUP CASH FLOW STATEMENT
FOR THE QUARTER ENDED 31 MARCH 2013

	31-Mar-13	31-Dec-12
	Kshs'000	Kshs'000
a. CASH FLOWS FOR THE PERIOD TO 31 ST MARCH 2013		
Cash generated from / (used in) operations	3,264,922	13,781,650
Taxation Paid	(307)	(1,374,679)
Net cash generated from / (used in) operating activities	3,264,616	12,406,971
b. CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(1,863,437)	(3,007,868)
Purchase of intangible assets	-	(52,252)
Purchase of other investments	431,667	(3,210,075)
Proceeds from disposal of property and equipment	3,235	8,819
Net cash used in investing activities	(1,428,535)	(6,261,376)
c. CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	-	(1,396,948)
Loans received	-	4,320,173
Loans repaid	(162,878)	(113,322)
Net cash used in financing activities	(162,878)	2,809,903
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	1,673,202	8,955,498
CASH AND CASH EQUIVALENTS AS AT 1ST JANUARY	23,591,154	14,708,942
Foreign Exchange Gain	(343,534)	(73,286)
CASH AND CASH EQUIVALENTS	24,920,822	23,591,154